

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.,

RESPONDENT.

DECLARATION OF JÉRÔME LORRAIN
IN SUPPORT OF REPLY BRIEF OF SEAFRIGO

I, Jérôme Lorrain, hereby certify and state as follows:

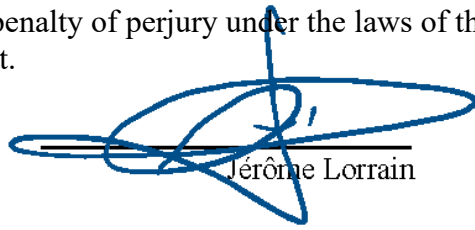
1. I was the CEO of Seafrigo USA Inc. (“Seafrigo”). I served as CEO from January 1, 2021 to May 5, 2022. This Declaration is based on my personal knowledge.
2. Seafrigo has provided transportation services on behalf of Bakerly LLC (“Bakerly”) since 2015 and has provided door service for it since 2018.
3. Throughout that time period, Seafrigo has paid detention and demurrage charges assessed by Marine Terminal Operators (MTOs) and Vessel Operating Common Carriers (VOCCs) on behalf of Bakerly and issued invoices to Bakerly to recover such payments.
4. Non-Vessel Operating Common Carriers (NVOCCS), such as Seafrigo, routinely pay such charges on behalf of customers so as to expedite the movement of their customers’ cargo and minimize the escalation of detention and demurrage charges.

5. Seafrigo has issued over a thousand invoices to Bakerly in which Seafrigo was passing on detention and demurrage charges from MTO or NVOCCs.
6. Prior to this litigation, Bakerly never asserted that it was not responsible for paying such detention and demurrage charges.
7. During the course of 2021, Bakerly became very late in paying its invoices to Seafrigo. This failure led to Seafrigo suffering a severe cash flow problem. As a result, late in 2021, Seafrigo stopped advancing funds to pay Bakerly's detention and demurrage charges.
8. On the day before Christmas in 2021, Julien Caron, the CEO of Bakerly contacted me and begged that Seafrigo continue to advance its detention and demurrage charges so as to allow for the release of Bakerly containers that were being held by MTOs and VOCCs. Mr. Caron reported that Bakerly needed the containers to be released in order for it to be able to continue to operate.
9. Although at that time Seafrigo had insufficient funds to do so (due to Bakerly not having paid its invoices in a gesture of goodwill, Seafrigo made extraordinary efforts to raise the necessary funds to pay the terminals and was successful in obtaining the release of the Bakerly containers.) As a result, Bakerly was able to continue its operations.
10. Seafrigo made this extraordinary effort based upon Mr. Caron's representation that Bakerly would bring its invoices current. Thus, the parties agreed that Seafrigo would continue to pay detention and demurrage on behalf of Bakerly if Bakerly paid its outstanding invoices.
11. Despite the assurances provided, Bakerly has failed to pay Seafrigo's invoices.
12. At that time, or at any time previously, Bakerly could have assumed responsibility for delivering the cargo at issue to its warehouses and start paying detention and demurrage charges directly to MTOs and VOCCs.

13. Bakerly intentionally chose not to do so resulting in Seafrigo continuing to advance funds on Bakerly's behalf.
14. Al Raffa and I separately met with the two primary VOCCs for Bakerly, CMA and MSC and sought to have them waive detention and demurrage charges.
15. Because those carriers had significant leverage in an extremely tight market, they flatly refused to waive such charges. 21.
16. Seafrigo kept Bakerly informed of its efforts in this regard.
17. Seafrigo was under no obligation to negotiate with VOCCs and MTOs to have them reduce charges, let alone to bring legal action against them on behalf of Bakerly.
18. In August 2021, I informed Bakerly that due to market conditions there were no signs of short-term improvement, and that this situation could worsen ahead of peak season. At that time, the parties discussed the need to define a priority list of customers for Bakerly needing containers to be released, subject to the terminal being able to locate the containers in the terminal and subject to dray equipment availability (chassis and gensets). The above was also subject to drivers' availability, which was worsened by the Bakerly warehouse's inability to empty containers, thus stranding drivers at their facilities.
19. In early 2022, Seafrigo sought to purchase another 30 trucks but due to market conditions the trucks were not able to be delivered until later 2022. Seafrigo kept Bakerly fully informed of the situation. Bakerly did not indicate that it was not going to pay Seafrigo as a result of the market conditions, nor did the lack of additional truckers or drivers prevent Seafrigo from performing. I hereby declare under penalty of perjury that the foregoing is true and correct.

I hereby declare under penalty of perjury under the laws of the United States that the foregoing is true and correct.

Dated May 31, 2023



Jérôme Lorrain